

NexaCore Procurement Policy

Version 3.8 | Sourcing, Purchasing and Supplier Controls

Owner: Operations & Procurement Effective: 01 Aug 2026 Review: 31 Jul 2027

1. Procurement Governance and Scope

This policy governs the sourcing, purchasing, approval and receipt of goods and services for NexaCore. It is synthetic private-company data created for RAG evaluation and is not sourced from a real organization.

1.1 Procurement principles

- Business need must be documented before material purchases.
- Competitive sourcing is expected for addressable spend unless a documented exception applies.
- Approvals must occur before commitment to a supplier.
- Employees must not create supplier commitments outside their authority.
- Supplier selection should consider price, quality, security, continuity, delivery and total cost of ownership.

1.2 Purchase thresholds

Spend value	Required route	Minimum sourcing expectation
≤ INR 25,000	Manager approval	Reasonable market check
25,001–2,00,000	Purchase request + budget owner	2 comparable quotes where practical
2,00,001–10,00,000	Procurement review	3 quotes / documented exception
> INR 10,00,000	Procurement + Finance	Formal sourcing event or approved sole source

1.3 Prohibited practices

Employees may not split purchase orders, accept undisclosed supplier incentives, approve their own procurement request, or create commitments outside approved contracts.

2. Sourcing and Supplier Selection

2.1 Sourcing stages

- Requirement definition
- Supplier discovery
- RFI/RFQ/RFP where appropriate
- Commercial comparison
- Security/legal review where applicable
- Negotiation
- Approval
- Purchase order / contract
- Supplier onboarding

2.2 Evaluation model

Criterion	Standard weight
Commercial value	30%
Quality / technical fit	25%
Delivery / service capability	15%
Security / compliance	15%
Financial / continuity risk	10%
Sustainability / other factors	5%

2.3 Sole-source exception

Sole-source procurement requires written justification covering uniqueness, alternatives considered, commercial reasonableness and business impact. Purchases above INR 10,00,000 require Procurement Head approval for a sole-source exception.

3. Purchase Orders, Contracts and Receiving

3.1 Purchase order rules

- A PO is required for purchases covered by the procurement workflow unless an approved exception applies.
- Supplier invoices should reference the PO number.
- PO quantity and value should be monitored against receipts and invoices.
- PO changes above 10% of original value require approval from the original budget authority or higher.

3.2 Three-way matching

Record	Purpose
Purchase Order	Authorized commercial commitment
Goods Receipt / Service Acceptance	Confirms delivery or completion
Supplier Invoice	Amount requested for payment
Finance match	Validates PO + receipt + invoice consistency

3.3 Service acceptance

For professional or recurring services, the business owner confirms delivery against the statement of work before Finance releases payment.

4. Supplier Risk, Security and Compliance

4.1 Risk tiers

Tier	Typical supplier	Review
Critical	Core infrastructure / critical customer dependency	Annual + continuous monitoring
High	Sensitive data or material operational dependency	Annual
Medium	Important business service	Every 18 months
Low	Commodity / low-impact supplier	Onboarding + periodic refresh

4.2 Security review triggers

- Supplier accesses Confidential or Restricted data.
- Supplier connects to production systems.
- Supplier provides identity/security services.
- Supplier hosts customer-impacting workloads.
- Supplier subcontracts material processing.

4.3 Insurance and legal

Material suppliers may require confidentiality, security, service-level, data-processing, liability and business-continuity clauses depending on risk.

5. Supplier Performance and Payment Controls

5.1 Performance measures

Metric	Target
On-time delivery	≥95%
Invoice accuracy	≥98%
Critical SLA compliance	≥99%
Corrective-action closure	≤30 days for high issues
Supplier response to critical incident	≤60 minutes

5.2 Payment terms

- Standard payment terms target Net 30 unless contract terms justify another schedule.
- Advance payments require additional approval and contract safeguards.
- Disputed invoices should be placed on hold for the disputed portion rather than delaying unrelated valid invoices.

5.3 Supplier remediation

Suppliers with repeated performance failures may receive a corrective-action plan, increased monitoring, commercial penalty, volume reduction or termination recommendation.

6. FY26 Procurement Metrics and Governance

Metric	FY26 value
Addressable procurement spend	INR 96.4 crore
Spend under approved PO	94.2%
Average sourcing cycle	12.6 business days
Suppliers onboarded	186
Critical/high-risk suppliers	47
Average negotiated savings	8.7%
On-time supplier delivery	96.1%
Invoice first-pass match	97.3%
Sole-source exceptions	38

6.1 Governance cadence

- Weekly purchase-request queue review.
- Monthly supplier performance review.
- Quarterly spend and contract review.
- Annual procurement policy review.
- High-risk supplier continuity exercises at least annually.

Document control

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